LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

WHAT IS OEM VENDOR FUNDING?

A Comprehensive Textbook & Reference Manual on Upstream Supply Chain Finance in India

Developed by www.loanbazaaronline.com

TABLE OF CONTENTS

Chapter Name	Page No
Chapter 1: Product Overview & Core Philosophy of OEM Vendor Funding	Page 3
Chapter 2: Structural Modalities & Comparative Trade Finance Taxonomy	Page 4
Chapter 3: The Tripartite Model, Transaction Loop & ERP/API Workflows	Page 6
Chapter 4: Credit Underwriting Standards, Eligibility Criteria & Alternate Scoring	Page 8
Chapter 5: Legal Framework, Security Mechanisms & Documentation Requirements	Page 10
Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem in India	Page 12
Chapter 7: Commercial Mechanics, Pricing Structures & Unit Economics	Page 13
Chapter 8: Regulatory Compliance, Digital Lending Directions & Risk Management	Page 14
Chapter 9: Detailed Real-World Case Study (No-Cost vs. Interest-Bearing structures)	Page 15
Chapter 10: Fintech Rookie Certification Practice Examination	Page 17

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 1: Product Overview & Core Philosophy of OEM Vendor Funding

OEM Vendor Funding, alternatively designated as Original Equipment Manufacturer Vendor Financing or Upstream Supply Chain Finance, represents an innovative, transaction-backed working capital solution designed to fund the supplier network of large manufacturing enterprises. In the classic industrial manufacturing matrix, a central manufacturer—the Original Equipment Manufacturer (OEM)—operates at the apex of a vast, multi-tiered supplier ecosystem. To produce complex, high-value end products ranging from passenger automobiles and heavy defense equipment to high-tech consumer electronics and durables, the OEM relies on a specialized network of suppliers (Vendors) who deliver raw materials, precision components, sub-assemblies, and specialized engineering services. Historically, these vendors, predominantly categorized as Micro, Small, and Medium Enterprises (MSMEs), face severe working capital stress due to the payment terms dictated by the OEMs, which typically stretch from 45 to 90 days or even longer.

This structural mismatch is solved by OEM Vendor Funding, which functions on the core principle of credit arbitrage. Under this programmatic lending framework, a commercial bank, NBFC, or specialized digital fintech lender establishes a dedicated credit program in partnership with the OEM (the Corporate Anchor). Instead of underwriting individual MSME vendors on a standalone basis—which would result in extremely high risk premiums, heavy collateral requirements, and high rejection rates—the financier underwrites the program based on the pristine credit profile, balance sheet strength, and payment history of the OEM itself. When a vendor delivers raw materials and issues an invoice to the OEM, the financier steps in to discount the invoice, paying the vendor early (typically within 24 to 48 hours of invoice approval) and receiving repayment from the OEM at the end of the credit usance period. The financing cost is linked to the OEM's favorable credit rating rather than the vendor's local cost of funds, driving down the borrowing rate significantly.

The historical evolution of trade credit in India is critical to understanding the modern digitized supply chain landscape. For decades, inter-firm trade was characterized by paper-based bill discounting, where vendors physically presented bills of exchange and trade bills to commercial banks under the Negotiable Instruments Act, 1881. This manual paradigm was slow, prone to documentation errors, and severely restricted by geographic constraints. In rural and semi-urban industrial belts, informal credit networks operated on peer trust and high-interest 'Hundis'. To formalize and accelerate trade credit, the Reserve Bank of India (RBI) launched the Bill Market Scheme in 1952 and subsequently reformed it in 1970 to introduce bank-backed bills. In 1988, the C.S. Kalyan Sundaram Committee recognized the strategic importance of institutional factoring to support MSMEs. This laid the foundation for structured supply chain financing, which ultimately transitioned from slow paper-based systems to automated, real-time ERP-integrated platforms in the early 2000s, pioneered by public sector leaders like the State Bank of India (SBI) with its electronic schemes.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 2: Structural Modalities & Comparative Trade Finance Taxonomy

A primary source of confusion for finance rookies is distinguishing between the various programs under the broad umbrella of Supply Chain Finance (SCF). Specifically, the operational and credit dynamics of upstream OEM Vendor Funding (payable-side financing) differ significantly from downstream Channel Financing (receivable-side financing) and traditional accounts receivable factoring. Establishing a clear taxonomy is paramount for credit risk officers and treasury managers.

The following multi-column taxonomy table maps the operational, legal, and risk parameters of these three products, defining their exact structural boundaries.

Parameter	OEM Vendor Funding (ABVF)	Channel / Dealer Finance	Traditional Factoring
Primary Initiator	The Large Corporate Buyer (OEM Anchor) to optimize payables and secure raw supply lines.	The Corporate Seller (OEM) to accelerate sales velocity and push finished inventory downstream.	The Individual Supplier (Seller) on a standalone basis to liquidate sticky invoices.
Underwriting Basis	Focuses entirely on the pristine credit rating, financial leverage, and payment history of the OEM.	Evaluates the historical stock-lifting velocity, vintage, and CIBIL CMR of retail distributors.	Underwrites the standalone financials, debt-service capacity, and collateral of the vendor.
Fund Disbursal Flow	Directly from the bank to the Vendor's account on Day 1, representing an early payable liquidation.	Directly from the bank to the Corporate Anchor's account on behalf of the distributor/dealer.	From the Factor (bank/NBFC) to the Supplier (Vendor), keeping a margin reserve in hold.
Recourse Structure	Predominantly Non-Recourse or Limited Recourse to the Supplier once the OEM approves the invoice.	Strictly Recourse to the dealer, heavily secured by corporate guarantees and escrow accounts.	Can be With Recourse (SME bears default risk) or Non-Recourse (Factor absorbs credit losses).
CERSAI Filing	Mandatory registration of assignment of receivables on CERSAI portal within 10 days of transaction.	Required only if a formal charge is created over book debts or inventory assets.	Mandatory for all factoring transactions under Section 19 of the Factoring Act, 2011.

To illustrate how upstream vendor funding operates in parallel with downstream channel finance within a closed-loop ecosystem, we examine the operations of a premier auto manufacturer like Apex Trucks India Ltd. In the upstream loop, the automaker partners with public and private sector financiers to establish a Raw Material / Vendor Funding program. Here, the financier discounts invoices raised by tier-1 suppliers who deliver engine blocks, steel coils, and electronics, with the automaker contractually

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

committed to paying the bank on Day 90. Simultaneously, in the downstream loop, Apex Trucks leverages a structured Channel Financing program. Under this downstream line, when finished trucks are shipped to regional dealerships (such as Radha Krishna Auto Spares in Mumbai), the financier immediately pays Apex Trucks, and the dealer repays the bank over a flexible 60-day window as the vehicles are sold to retail customers.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 3: The Tripartite Model, Transaction Loop & ERP/API Workflows

The operational execution of modern OEM Vendor Funding is built upon a Tripartite Model. This structure interlinks three distinct participants in a real-time, transaction-based loop. These actors are the Supplier (MSME Vendor), the Original Equipment Manufacturer (OEM Corporate Anchor), and the Financier (Regulated Commercial Bank, NBFC, or fintech platform). To ensure instant credit decisioning and automated fund disbursement, the manual exchange of invoices has been entirely replaced by real-time Application Programming Interfaces (APIs) and electronic data interchanges (EDI) linking the OEM's ERP system (e.g., SAP, Oracle, or Microsoft Dynamics) directly to the financier's supply chain core platform.

The Step-by-Step Transaction Loop

Stage & Name	Participant Action	Behind-the-Scenes System & API Activity
1. Order & Supply	OEM places a purchase order (PO) via ERP; Vendor manufactures and delivers the raw goods, raising a tax-compliant GST invoice.	Vendor uploads the invoice to the OEM's vendor portal. The invoice is automatically matched with the Goods Receipt Note (GRN) via automated three-way matching.
2. Approval	OEM accepts the raw goods, verifies quality, and approves the invoice on its internal ERP ledger.	OEM's ERP triggers an automated API call to the Financier's platform, transmitting the approved invoice metadata, GRN confirmation, and payables approval.
3. Bidding / Selection	Vendor views the approved invoice on the financier's dashboard and requests early discount (or chooses auto-discounting).	Financier's platform computes the discount charge (using simple interest linked to the OEM's rate) and generates a digital sanction letter instantly.
4. Disbursal	Vendor digitally signs the transaction using Aadhaar-OTP or corporate digital signature certificate (DSC).	Financier disburses the discounted value (e.g., 90% of invoice value minus interest and fees) directly into the Vendor's bank account via API-led RTGS/NEFT on Day 1.
5. Settlement	OEM repays the financier the full invoice value on the designated maturity date (e.g., Day 60 or Day 90).	Financier's system sweeps the OEM's registered settlement bank account via automated e-NACH/e-mandate, recovers the principal advance, and releases any margin reserve back to the Vendor.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

An important variation within this loop is the 'No-Cost Vendor Funding' or 'Interest Holiday' subvention period frequently sponsored by OEMs. In high-demand manufacturing cycles, the OEM manufacturer may agree to subvent (absorb) the interest cost of the discounting program for an initial promotional window (e.g., the first 30 days of a 90-day invoice). Under this model, the vendor receives 100% of the invoice value upfront (with zero interest deduction), while the OEM pays the interest cost directly to the financier. This subvention mechanism protects critical raw material suppliers from interest rate hikes and ensures absolute supply chain resilience, proving crucial during festive demand spikes.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 4: Credit Underwriting Standards, Eligibility Criteria & Alternate Scoring

To enable rapid, automated vendor onboarding without adding friction to the OEM's operational supply line, financiers utilize a dual-track credit underwriting model. This approach decouples the heavy underwriting of the OEM (the Corporate Anchor) from the lightweight, transaction-driven onboarding of individual suppliers.

Underwriting the Corporate Anchor (OEM)

Lenders conduct comprehensive credit evaluations of the OEM, focusing on financial metrics and institutional credit ratings assigned by recognized credit rating agencies such as CARE Ratings, CRISIL, or ICRA. These ratings are recognized by the RBI for determining capital adequacy risk weights. Key metrics analyzed include:

- **Debt-to-Equity and Leverage Ratios:** Verifying that the OEM's debt levels are sustainable relative to its net worth, with an optimal debt-to-equity ratio below 1.5x.
- **Interest Coverage Ratio (ICR):** Ensuring that the OEM's earnings before interest and taxes (EBIT) comfortably cover its financing costs, preferably above 3.0x.
- **Days Payable Outstanding (DPO):** Analyzing the OEM's historical trade payables ledger to verify a consistent, non-delinquent payment track record with vendors.
- **Market Standing & Credit Rating:** A minimum external credit rating of 'A-' or above is typically required to authorize a high-value anchor program, which can reach several hundred crores.

Onboarding the Supplier (Vendor)

Individual vendors undergo an automated onboarding pipeline focused on transaction compliance and relationship history rather than collateral. Typical eligibility criteria include:

- **Active GST Registration:** A minimum of 24 months of verified, active GST filings, showing a clean compliant status.
- **OEM Vintage & Supplier Relationship:** A stable, uninterrupted supply history with the Corporate Anchor for at least 12 to 24 months, verified via historical Lifting Statements and ERP transaction history.
- **Minimum Business Turnover:** An annual turnover starting as low as ₹25 Lakhs to ₹50 Lakhs for micro-enterprises, making the program highly inclusive.
- **CIBIL MSME Rank (CMR):** A satisfactory personal credit score for the promoter (CIBIL > 700) and an acceptable commercial credit rank (preferably CMR 1 to CMR 5).

A critical innovation in modern fintech-led vendor funding is the use of Alternative Credit Scoring for the New-to-Credit (NTC) retail and micro-enterprise vendor segment. According to credit landscape reports (such as CRIF High Mark's Q3 FY26 snapshot), a significant percentage of micro-enterprises are New-to-Credit at the time of credit origination. To underwrite these thin-file vendors safely, proprietary fintech engines analyze alternative data points. Rather than relying on traditional bank records or credit history, the engine evaluates real-time parameters including invoice matching frequency, the vendor's low historical invoice dilution rate (the variance between invoice value and final approved payables due

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

to quality issues), digital GST tax returns, and SMS-based transaction histories. This transaction-backed data proxy allows financiers to accurately price default risks, bringing unbanked manufacturers into the formal credit sector.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 5: Legal Framework, Security Mechanisms & Documentation Requirements

While OEM Vendor Funding is structurally secured by the trade receivables of a high-grade Corporate Anchor, lenders must enforce a rigorous, legally binding documentation framework to protect against operational fraud, contractual disputes, and systemic credit default.

The Factoring Regulation Act, 2011 and the 2021 Amendments

The primary statutory backbone of vendor funding in India is the Factoring Regulation Act, 2011, which codifies the legal transfer and assignment of trade receivables. Under this Act, when a supplier assigns their approved invoice to a financier (the Factor), the financier acquires absolute legal title and right over the debt. To accelerate MSME credit access, the Parliament passed the Factoring Regulation (Amendment) Bill, 2021. Before this landmark amendment, only banks, specialized NBFC-Factors, and select government enterprises were legally permitted to conduct factoring business. This restricted the trade finance supply, as only about 7 NBFCs were registered as dedicated factors. The 2021 Amendment completely removed this restriction, permitting all Non-Banking Financial Companies (NBFCs) to participate in factoring, expanding the formal credit pipeline to thousands of registered lenders.

Essential Security and Document Requirements

- **1. Tripartite Agreement:** A legally binding three-party contract executed between the OEM (Anchor), the Vendor (Supplier), and the Financier. This contract outlines the program rules, interest pricing, and credit limits.
- **2. Assignment of Receivables:** A formal deed of assignment signed by the vendor, legally transferring the title, interest, and rights of the trade receivables (approved invoices) to the financier under the Factoring Act.
- **3. The 'Non-Dispute Covenant':** A critical clause in the Tripartite Agreement where the OEM contractually waives all rights to withhold payments, raise quality disputes, or apply counter-party set-offs once an invoice is approved. This contractually isolates the financier from supplier quality defaults.
- **4. CERSAI Registration within 10 Days:** Under Section 19 of the Factoring Regulation Act, 2011, every factoring and receivable assignment transaction must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI). The financier is statutorily mandated to file the charge on CERSAI within 10 days of the assignment. This registry acts as a single, centralized database, preventing dishonest vendors from committing dual-financing fraud (pledging the same invoice to multiple lenders).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **5. Escrow and Collection Mandates:** Vendors sign automated e-NACH mandates to allow financiers to recover any overdue interest, fees, or recourse defaults directly from their primary bank accounts.

Lenders also integrate institutional-grade guidelines such as the Tata Capital Master Terms & Conditions. These agreements mandate strict Conditions Precedent (CPs), including the submission of clearance certificates under Section 281(1)(ii) of the Income Tax Act, 1881, confirming that no outstanding tax liabilities exist that could result in a statutory charge over the vendor's book debts or inventory assets. Furthermore, the agreements enforce the hypothecation of current assets, ensuring a secondary, comprehensive security layer over the entire business ledger.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem in India

Upstream vendor financing has experienced explosive, structural growth in India, driven by rapid industrialization, corporate digitization, and favorable regulatory adjustments. According to credit bureau data as of December 2025 (reported in CRIF High Mark's Q3 FY26 report), the total Consumer Durable and industrial supply chain portfolio outstanding grew 14.3% YoY to ₹96.3K Crore, representing a massive base of 10.1 Crore active loan accounts. This growth has been highly supported by festive season demand spikes, infrastructure expansion, and digital tax reforms.

The Institutional Ecosystem & Bank Dominance

In the Indian retail and commercial lending market, public sector giants maintain a highly dominant position in supply chain financing. Tracing the institutional annual reports, the State Bank of India (SBI) holds an absolute market leadership. SBI's electronic supply chain portfolios have achieved historic scales, with its Electronic Dealer Financing Scheme (e-DFS) portfolio crossing ₹49,261 Crore, and its Electronic Vendor Financing Scheme (e-VFS) portfolio crossing ₹28,092 Crore. This massive infrastructure is driven by a deep nationwide touchpoint network, digital ERP integrations with top corporate conglomerates (such as JSW Steel and major auto manufacturers), and highly competitive borrowing costs.

Suitable Industries and Business Profiles

OEM Vendor Funding is highly suited for capital-intensive manufacturing industries characterized by high raw material overhead, complex assembly lines, and extended cash-to-cash cycles. Key segments include:

- **Automotive Industry:** Automotive OEMs (such as passenger cars, heavy commercial trucks, and two-wheelers) rely on thousands of micro-enterprise vendors supplying sheet metal, plastic injection molds, and electric wiring. ABVF allows these vendors to fund raw steel purchases immediately.
- **Consumer Electronics & Durables:** Major durables OEMs (air conditioners, LED televisions, home appliances) experience massive seasonal demand spikes during festive quarters. ABVF ensures raw component suppliers can scale up production with automated limits.
- **Steel, Metals & Building Materials:** Conglomerates like JSW One and Tata Steel utilize structured raw material and vendor lines to maintain continuous furnace operations, securing prime capital for mining and alloying partners.
- **Heavy Engineering & Power Equipment:** Procurement of specialized high-grade steel, turbines, and copper windings requires substantial capital with extended production lead times. ABVF bridges the 90-to-120 day cash gap.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 7: Commercial Mechanics, Pricing Structures & Unit Economics

To evaluate the profitability and commercial sustainability of an OEM Vendor Funding program, credit analysts and fintech risk officers must master its underlying unit economics, pricing components, and the mathematical principles of credit arbitrage.

Pricing Components of a Revolving Vendor Line

- **Financing Interest Rate (7.5% - 10.5% p.a.):** A competitive, floating interest rate linked directly to the external benchmark lending rate (EBLR) or Repo-Linked Lending Rate (RLLR) of commercial banks, adjusted according to the OEM's credit rating.
- **Upfront Processing Fee (0.1% - 0.5%):** A nominal administrative fee charged on the sanctioned limit or on an invoice-by-invoice basis. In India, this fee is strictly subject to GST at 18% (e.g., a ₹5,000 fee carries a ₹900 tax component).
- **Overdue Interest / Penal Rate (18% - 24% p.a.):** Applied strictly as a penalty on outstanding balances exceeding the designated credit tenure (e.g., past Day 90), acting as a powerful deterrent against payment delays.

The Mathematics of Early Cash Discounts (Procurement Arbitrage)

A primary commercial justification for utilizing vendor funding is the upfront cash discount offered by raw material suppliers in exchange for early payment. In standard industrial trading, raw material suppliers regularly offer early cash discounts ranging from 1.5% to 3.0% of the invoice value if the invoice is settled within 2 to 5 days of delivery, rather than waiting for the standard 60-to-90-day trade credit usance period.

To evaluate the economic benefit, the treasury team calculates the Annualized Yield of the cash discount using the formula:
Annualized Discount Yield = (Discount % / [100% - Discount %]) * (365 / [Usance Credit Days - Early Payment Days])

For example, if a supplier offers a 1.5% early payment cash discount for settling an invoice on Day 2 instead of Day 60 (a net acceleration of 58 credit days), the annualized yield is computed as:
Annualized Yield = (1.5% / 98.5%) * (365 / 58) = 0.015228 * 6.2931 = 9.58% p.a.

If the vendor discounts the invoice using an OEM Vendor Funding line at a prime borrowing cost of 8.0% p.a. simple interest, the business secures a direct net interest arbitrage of 1.58% p.a. (+₹15,800 on a ₹1 Crore transaction), while maintaining continuous inventory supply and raw material stock levels with zero real estate collateral.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 8: Regulatory Compliance, Digital Lending Directions & Risk Management

Because OEM Vendor Funding utilizes substantial financial leverage, it is governed by a strict, multi-layered regulatory framework overseen by the Reserve Bank of India (RBI) and the Ministry of Consumer Affairs.

1. RBI Master Directions on Credit Risk Management, 2025

Under the RBI's updated Directions, banks and NBFCs must maintain robust Credit Risk Management frameworks. Lenders are mandated to conduct independent credit evaluations, establish board-approved exposure limits for corporate anchors, and implement systematic stress testing models to evaluate portfolio performance under adverse economic scenarios.

2. RBI Digital Lending Directions (DLA and LSP Guardrails)

As vendor funding programs transition to digital lending apps (DLAs) and mobile interfaces, strict data privacy standards are enforced. DLAs operated by lenders or their partner Lending Service Providers (LSPs) are explicitly prohibited from accessing sensitive mobile phone resources. They are barred from scanning the customer's contact list, accessing file and media directories, reading call logs, or accessing telephony functions. Lenders are only permitted a one-time access to mobile resources like the camera, microphone, and location solely for onboarding and Know-Your-Customer (KYC) requirements, and only after obtaining the customer's explicit, audit-trailed consent.

Furthermore, all personal and financial data must be stored securely on servers located entirely within India. If any data is processed outside the country, it must be completely wiped from foreign servers and brought back to Indian servers within 24 hours of processing, ensuring a watertight digital fortress around consumer data privacy.

Additionally, under these Directions, Default Loss Guarantee (DLG) arrangements—where an LSP guarantees to compensate the lender for default losses—are strictly capped at 5% of the outstanding DLG portfolio. This cap prevents unregulated fintech partners from acting as synthetic lenders without sufficient capital backup, safeguarding financial stability.

3. Anti-Harassment & Fair Collection Practices

The RBI Fair Practice Code holds lenders 'vicariously liable' for third-party collection agents. Agents are strictly prohibited from contacting or visiting borrowers outside the designated hours of 8:00 AM to 7:00 PM. Any form of verbal abuse, mental intimidation, or third-party privacy breaches is a severe regulatory violation that must be reported to the bank Nodal Officer or the RBI Banking Ombudsman.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 9: Detailed Real-World Case Study (No-Cost vs. Interest-Bearing structures)

To bridge the gap between financial theory and real-world commercial operations, we analyze a detailed case study of an upstream raw material procurement transaction using an OEM Vendor Funding program in Indian Rupees (₹).

The Commercial Scenario

Vibrant Auto Components Pvt. Ltd. (based in Pune) is a tier-1 micro-enterprise vendor supplying precision machined forgings to a AAA-rated commercial vehicle manufacturer, Apex Motors India Ltd. (the Corporate Anchor). Vibrant needs to purchase raw steel billets worth ₹50,00,000 (₹50 Lakhs) to fulfill a major production order. To raise immediate capital without depleting its cash reserves, Vibrant opts to discount its approved invoice on Apex Motors' digital vendor funding line, backed by a commercial financier.

Underlying Financial Parameters

- **Consignment Invoice Value:** ₹50,00,000 (₹50 Lakhs, inclusive of GST).
- **Required Margin Reserve:** 10% held in reserve (₹5,00,000).
- **Lender-Advanced Principal:** 90% of invoice value (₹45,00,000 constituting the active loan principal).
- **Usance Credit Tenure:** 60 Days.
- **Financing Interest Rate:** 8.5% p.a. simple interest (calculated on a 365-day year).
- **Lender Processing Fee:** 0.1% on the advanced principal, subject to GST at 18% in India.
- **Early Cash Discount:** 1.5% discount offered by the raw material mills if settled on Day 1.

Scenario A: Standard Interest-Bearing Route with Early Cash Discount

Under this scenario, Vibrant bears the full interest cost of the 60-day discounting period.

Step 1: Calculate the Discounted Invoice Value
Early Payment Cash Discount = ₹50,00,000 * 1.5% = ₹75,000
Net Discounted Invoice Value = ₹50,00,000 - ₹75,000 = ₹49,25,000

Step 2: Compute the Margin and Loan Principal
Vibrant Required Margin (10% Skin in the Game) = ₹49,25,000 * 10% = ₹4,92,500
Lender Advanced Principal (90%) = ₹49,25,000 * 90% = ₹44,32,500

Step 3: Calculate the Financier's Deducted Interest (60 Days)
Interest Charge = Principal * Rate * (Tenure / 365) = ₹44,32,500 * 8.5% * (60 / 365) = ₹61,936

Step 4: Compute the Processing Fee and GST
Processing Fee = ₹44,32,500 * 0.1% = ₹4,432.50
GST on Processing Fee (18%) = ₹4,432.50 * 18% = ₹797.85
Total Administrative Charges = ₹4,432.50 + ₹797.85 = ₹5,230.35 (rounded to ₹5,230)

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Step 5: Calculate the Net Upfront Disbursal Payout
Net Upfront Payout = Advanced Principal - Interest - Processing Fees = ₹44,32,500 - ₹61,936 - ₹5,230 = ₹43,65,334

Step 6: Maturity Settlement (Day 60)
On Day 60, the OEM (Apex Motors) pays the full ₹49,25,000 to the bank. The bank sweeps the advanced principal of ₹44,32,500 to recover its loan, and releases the ₹4,92,500 margin reserve back to Vibrant's bank account.

Net Economic Impact for Vibrant: Vibrant secured ₹49.25 Lakhs of raw components on Day 1 with only ₹4.92 Lakhs of cash margin. By gaining the ₹75,000 early cash discount, Vibrant comfortably offset the ₹61,936 in borrowing interest and ₹5,230 in fees, locking in a net credit arbitrage profit of +₹7,834 while scaling up manufacturing output with zero real estate collateral.

Scenario B: OEM-Subvented 30-Day Interest Holiday

Under this promotional model, Apex Motors subvents (pays) 100% of the interest costs for the first 30 days.

Step 1: Compute interest for the subvented period (Paid by OEM)
OEM Interest Share (Days 1 to 30) = ₹44,32,500 * 8.5% * (30 / 365) = ₹30,968

Step 2: Compute interest for the remaining period (Paid by Vendor)
Vendor Interest Share (Days 31 to 60) = ₹44,32,500 * 8.5% * (30 / 365) = ₹30,968

Step 3: Calculate Vendor's Net Upfront Disbursal Payout
Net Upfront Payout = Advanced Principal - Vendor Interest - Processing Fees = ₹44,32,500 - ₹30,968 - ₹5,230 = ₹43,96,302

Comparative Analysis: Under Scenario B, the vendor's upfront payout increases by ₹30,968 (from ₹43,65,334 to ₹43,96,302) because the OEM absorbed the initial interest. This subvention mechanism protects small suppliers, ensuring continuous manufacturing cash flow and robust supply chain coordination during tight credit cycles.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 10: Fintech Rookie Certification Practice Examination

This chapter contains a rigorous, comprehensive practice examination consisting of multiple-choice, analytical, and descriptive scenario questions. It is designed to test a finance rookie's absolute mastery of OEM Vendor Funding commercial mechanics, legal frameworks, and regulatory requirements.

Question 1 (Multiple Choice)

Under the 2021 Amendments to the Factoring Regulation Act, 2011, which regulatory change was enacted to expand MSME trade credit in India?

- A) Factoring was restricted exclusively to public sector commercial banks to prevent credit speculation.
- **B) The restriction limiting factoring to specialized NBFC-Factors was removed, allowing all registered NBFCs to participate.**
- C) Default Loss Guarantee (DLG) arrangements were declared illegal for all supply chain programs.
- D) CERSAI registration timelines were extended from 10 days to 180 days to accommodate paper filings.

★ **Rationale & Analysis:** *Correct Option: B. The Factoring Regulation (Amendment) Bill, 2021 completely removed the restrictive clause that limited factoring business solely to specialized NBFC-Factors (of which only 7 existed). This allowed all registered Non-Banking Financial Companies (NBFCs) to participate in factoring, adding thousands of potential institutional financiers to the MSME credit pool.*

Question 2 (Multiple Choice)

What is the statutory timeline within which a financier must register a factoring or invoice assignment charge on the CERSAI portal?

- A) Within 24 hours of funds disbursal.
- **B) Within 10 days of the assignment transaction.**
- C) Within 30 days of invoice generation by the supplier.
- D) Prior to the final maturity settlement date of the invoice.

★ **Rationale & Analysis:** *Correct Option: B. Section 19 of the Factoring Regulation Act, 2011 mandates that all factoring and receivable assignment transactions must be registered with the CERSAI portal within 10 days of the assignment. This central database prevents fraudulent dual-financing.*

Question 3 (Multiple Choice)

Under the RBI's Digital Lending Directions, what is the maximum permissible limit for Default Loss Guarantee (DLG) arrangements?

- A) 1% of the outstanding portfolio.
- **B) 5% of the outstanding DLG portfolio.**
- C) 10% of the aggregate transaction value.
- D) 20% of the sanctioned corporate limit.

★ **Rationale & Analysis:** *Correct Option: B. To prevent unregulated Lending Service Providers (LSPs) from acting as synthetic lenders, the RBI Digital Lending Directions strictly cap DLG arrangements at a maximum of 5% of the outstanding DLG portfolio.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 4 (Analytical Case Question)

A tier-1 vendor discounts a ₹1,00,00,000 (₹1 Crore) invoice on an OEM Vendor line at 9.0% p.a. simple interest with a 90-day usance tenure and a 10% margin reserve. Compute the financier's deducted interest (using a 365-day year) and the net advanced principal.

★ **Rationale & Analysis:** *Step 1: Calculate advanced principal (90%): Advanced Principal = ₹1,00,00,000 * 90% = ₹90,00,000.*
*Step 2: Calculate deducted interest for 90 days: Interest = ₹90,00,000 * 9.0% * (90 / 365) = ₹1,99,726.*
Step 3: Advanced Net of Interest = Advanced Principal - Interest = ₹90,00,000 - ₹1,99,726 = ₹88,00,274.

Question 5 (Multiple Choice)

Under Section 130 of the Transfer of Property Act, 1882, how can a financier legally recover overdue amounts if a vendor defaults?

- A) By seizing the personal real estate assets of the OEM's board of directors.
- **B) By enforcing the legal assignment of accrued volume bonuses, sales incentives, and commissions directly from the OEM.**
- C) By retroactively increasing the interest rate to 48% per annum without notice.
- D) By forcing the OEM to issue fresh equity shares to the bank.

★ **Rationale & Analysis:** *Correct Option: B. Section 130 of the Transfer of Property Act, 1882 governs the assignment of actionable claims. Financiers leverage this to legally sweep accrued volume bonuses and incentive commissions due to the vendor directly from the OEM Anchor to recover outstanding debts.*

Question 6 (Multiple Choice)

Under the RBI Digital Lending Directions, which of the following is permitted regarding mobile phone resource access for DLAs?

- A) Continuous scanning of the customer's contact list and call logs for credit analysis.
- B) Accessing files, media directories, and phone storage files for identity verification.
- **C) One-time access to camera, microphone, and location solely for KYC onboarding, with explicit user consent.**
- D) Complete, unrestricted access to telephony functions to automate collection calls.

★ **Rationale & Analysis:** *Correct Option: C. The RBI Digital Lending Directions strictly prohibit DLAs from accessing the contact list, files, and call logs. Lenders are only permitted a one-time access to the camera, microphone, and location solely for KYC onboarding, with explicit, audit-trailed consent.*

Question 7 (Multiple Choice)

Which public sector bank in India commands the largest market share in electronic supply chain financing?

- A) HDFC Bank
- B) ICICI Bank
- **C) State Bank of India (SBI)**
- D) Axis Bank

★ **Rationale & Analysis:** *Correct Option: C. State Bank of India (SBI) holds absolute dominance in the supply chain financing space in India, with its electronic e-DFS (Dealer Financing) and e-VFS (Vendor Financing) schemes crossing ₹49,261 Crore and ₹28,092 Crore respectively.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 8 (Multiple Choice)

Under the proposed amendments to Ind AS 7 and Ind AS 107, what disclosure must corporate buyers provide on their balance sheets?

- A) Direct personal bank accounts of all major suppliers.
- **B) Explicit details regarding the size, terms, and balance sheet carrying amounts of supplier financing arrangements.**
- C) The CIBIL scores of all their raw material vendors.
- D) A complete list of all invoices rejected due to quality disputes.

★ **Rationale & Analysis:** *Correct Option: B. Effective April 1, 2024, the amendments to Ind AS 7 and Ind AS 107 mandate that corporate buyers provide explicit, transparent disclosures on their balance sheets regarding the size, terms, and carrying amounts of active supplier financing/reverse factoring arrangements.*

Question 9 (Descriptive Scenario)

Analyze the strategic function of a 'Stop-Supply' covenant in an OEM Vendor Funding tripartite agreement during a vendor credit default.

★ **Rationale & Analysis:** *The 'Stop-Supply' covenant is the most powerful risk mitigation tool in supply chain finance. Under this clause, if a vendor defaults on its obligations or commits fraud, the Corporate Anchor (OEM) is contractually obligated to immediately halt all inventory and component supply to the vendor. Because the vendor's commercial survival depends on its active contract with the OEM, this covenant provides immense leverage, forcing immediate cooperation and repayment without resorting to protracted court litigation.*

Question 10 (Multiple Choice)

What is the GST rate applied to the processing fees and service charges of a corporate supply chain credit line in India?

- A) 5%
- B) 12%
- **C) 18%**
- D) 28%

★ **Rationale & Analysis:** *Correct Option: C. Under Indian tax laws, processing fees, administrative charges, and documentation fees are classified as financial service charges and are subject to Goods and Services Tax (GST) at the standard rate of 18%.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.